

tolerance questionnaires. Aside from ignoring behavioral issues, an aspect shortly examined, a risk tolerance questionnaire can also generate dramatically different results when administered repeatedly but in slightly varying formats to the same individual. Such imprecision arises primarily from inconsistencies in the wording of questions. Additionally, most risk tolerance questionnaires are administered once and may not be revisited. Risk tolerance can vary directly as a result of changes and events throughout life. Another critical issue with respect to risk tolerance questionnaires is that many advisors interpret their results too literally. For example, some clients might indicate that the maximum loss they would be willing to tolerate in a single year would comprise 20 percent of their total assets. Does that mean that an ideal portfolio would place clients in a position to lose 20 percent? No! Advisors should set portfolio parameters that preclude clients from incurring the maximum specified tolerable loss in any given period. For these reasons, risk tolerance questionnaires provide, at best, broad guidelines for asset allocation and should only be used in concert with other behavioral assessment tools.

Proof that others are now starting to agree with this idea is contained in the World Wealth report referenced earlier:

*Risk and Scenario Analysis is now being used more extensively to help HNW clients understand the extremes, with risk positioned as a series of ups and downs not an average. Firms are extending the possible extremes (increasing the standard deviations) in their models of "what could happen?," as many pre-crisis models did not account for the extremes that ultimately occurred. But more importantly, risk analysis is being revamped to include a more thorough client goal assessment. Previously, clients may have been simplistically assigned the typical labels (conservative/moderate/aggressive), and consequently provided the appropriate models in which to invest, based on a very basic outline of their objectives. That label served as a proxy for risk tolerance—categorizing the client's willingness to pursue or avoid risk, while often using simple volatility to quantify that risk. The crisis proved the flaws in that approach since strategies to avoid volatility, for example, did not necessarily limit downside risk. The more sophisticated scenario approaches, beginning with client goals rather than just a risk "label," assist in identifying the emotional triggers that could ultimately help to better optimize a client portfolio for risk." From the behavioral finance perspective, in fact, risk tolerance questionnaires may work well for institutional investors but fail regarding psychologically biased individuals. An asset allocation that is generated and executed based on mean-variance optimization can often result in a scenario in which*